CSIS CHINA PROGRAMS

China Daily Brief

Thursday, October 22, 2026

2,657 words · 11 min read

RE: CSI 300 bear market · Xi's Long March speech ahead of Fifth Plenum · TSMC rare-earth pivot · Shoal resupply

USD/CNY	SSE COMPOSITE	HANG SENG	BRENT
6.6627	3,658.03	22,934.68	$111.81
▼ -0.42%	▼ -1.57%	▼ -5.67%	▲ +2.06%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

TODAY AT A GLANCE

1. China's CSI 300 index has fallen into bear-market territory, down roughly 20% from its June peak, as the Hang Seng dropped 5.67% today.
2. Xi Jinping made a confirmed public appearance at a Beijing ceremony marking the Long March's 90th anniversary, five days before the Fifth Plenum opens, ending a 47-day gap since his last confirmed appearance.
3. TSMC is evaluating rare-earth-free motors and alternative factory-equipment suppliers to cut its exposure to China's export controls, Reuters reports, as China's coast guard separately confirmed it let the Philippines resupply its grounded warship at Second Thomas Shoal.

TOP STORIES

US-CHINA

House committee says Webull messages point to China access to US customer data

The House Select Committee on the CCP said internal 2021 Webull messages indicate an employee believed to be based in China had access to information about a US customer account. Webull, an online investing platform, says sensitive US customer data is restricted to US-based employees.

CNBC

PRC-ECONOMY

China's CSI 300 enters bear market as 10-week rout deepens

China's benchmark CSI 300 index has fallen *20 percent* from its June peak, entering bear-market territory as a prolonged mainland equities selloff continues. The Hang Seng dropped 5.67% today and the Shanghai Composite fell 1.57%, per market data; Bloomberg separately reports fading AI-trade enthusiasm and diminished stimulus expectations are driving the slide.

CNBC, BLOOMBERG

INDO-PACIFIC

China's coast guard confirms it allowed Philippine resupply at Second Thomas Shoal

China's coast guard said it monitored and permitted the Philippines to resupply the grounded warship **BRP Sierra Madre** at Second Thomas Shoal, saying it conducted "confirmation checks and maintained full supervision" of the operation. The episode comes as tensions remain high over a Chinese ambassador's comments and as Manila explores deeper undersea-cable cooperation with Taipei.

REUTERS

TECHNOLOGY

TSMC seeks factory-equipment alternatives to thwart China's rare earths grip

TSMC is evaluating rare-earth-free motors and alternative suppliers for factory equipment to reduce exposure to China's export controls, sources told Reuters. The move follows MOFA's confirmation today that Beijing is enforcing export controls on Japan as Tokyo's critical rare-earth stockpiles near depletion.

REUTERS, EXCLUSIVE

DIPLOMACY

Xi resurfaces at Long March anniversary, calls for 'qualitative improvement' in economy

Xi Jinping called for "qualitative improvement and measurable growth" in the economy at a Beijing ceremony marking the 90th anniversary of the Long March's end, per Reuters. The appearance,

confirmed by MND and Xinhua, ends a *47-day* gap since Xi's last confirmed public appearance and comes five days before the Fifth Plenum of the 20th Central Committee opens Oct 26.

REUTERS

CROSS-STRAIT

China steps up 'gray zone' tactics to isolate Taiwan

FT reports Beijing is blocking Taipei's diplomats abroad and tightening control over maritime territory near Taiwan as part of an intensifying gray-zone campaign. The report lands the same day MOFA told reporters there is "no gray zone" on the Taiwan question in response to Philippine-Taiwan security cooperation.

FT

OVERNIGHT

PLA

US tests drone command links from F-22 cockpit and carrier in Taiwan-relevant push · SCMP

The US disclosed two tests this month in which an F-22 pilot and a carrier-based system controlled autonomous combat drones over long distances. The tests illustrate a technology contest Washington says could redefine air and naval power in a Taiwan contingency.

INDO-PACIFIC

Taiwan Coast Guard buys 25 MarTac drone boats · Taiwan News

Taiwan's Coast Guard Administration has procured 25 MarTac unmanned surface vessels. The purchase adds to Taiwan's growing fleet of maritime drones for monitoring gray-zone activity around the island.

TECHNOLOGY

Taiwan's first-ever chip workers strike hits Micron plant · Nikkei Asia

A Micron Technology labor union staged Taiwan's first-ever semiconductor industry strike Thursday in a dispute over compensation terms. The action marks a labor-organizing first for the island's chip sector.

DIPLOMACY

Private Chinese factories drive a new wave of Africa manufacturing · FT

After years of state-led infrastructure projects, FT reports private Chinese companies are now leading investment in African manufacturing. The shift marks a change from the state-to-state model that dominated the first decade of Belt and Road lending.

CROSS-STRAIT

MAC and TAO spar over Chinese actor's denied entry to Taiwan · Taipei Times

Taiwan barred Chinese actor Zhang Linghe, citing his comments denigrating Taiwan's sovereignty and his appearance as a Straits Forum guest speaker. The TAO called the refusal political maneuvering; the MAC said Beijing has no standing to complain given attacks on Taiwanese entertainers.

PRC-ECONOMY

PBOC details four channels for offshore entities to access yuan · Caixin

The central bank outlined the mechanisms foreign entities can use to obtain renminbi: receiving, raising, borrowing and exchanging. The explainer comes as policymakers push internationalization of the currency.

TECHNOLOGY

China's AI chip architects command million-yuan salaries amid talent crunch · Jiemian

Chip-sector job postings rose 22.2% year-on-year in the first nine months of 2026, with top AI chip architect roles paying up to ¥1.8 million annually. Xinhua cited industry estimates of a 300,000-person integrated-circuit talent gap, growing to over 500,000 by 2030.

US–CHINA

MILITARY · WASHINGTON POST

Pentagon looks to build deep-cover spy program to confront China

The Pentagon is working to establish a deep-cover espionage program aimed at China, per WaPo. The effort reflects a broader push to expand human intelligence capabilities against Beijing.

INVESTMENT · REUTERS

How a merged SpaceX-Tesla might navigate its China problem

Reuters examines the legal and regulatory complications a combined SpaceX-Tesla entity would face given Tesla's China manufacturing footprint and SpaceX's national-security work. The piece flags CFIUS-adjacent exposure from mixing a defense-sensitive business with a China-dependent one.

DIPLOMACY · BLOOMBERG

Kremlin says China preparing for possible Putin-Trump-Xi meeting

The Kremlin said China is making preparations for a potential trilateral meeting of Putin, Trump and Xi. Russia has floated the sidelines of November's APEC summit in Shenzhen as a possible venue.

LEGAL · MOFCOM (CHINA TRADE REMEDIES INFO)

US ITC issues partial final ruling in Section 337 probe on vehicle parts

The US International Trade Commission issued a partial final determination in a Section 337 investigation covering vehicle parts and components, per MOFCOM's trade-remedy tracking site. The ruling affects Chinese-linked auto-parts suppliers' access to the US market.

SANCTIONS · AFP

DHS orders US agencies to stop using DeepSeek AI tools

The US Department of Homeland Security directed government agencies to halt use of DeepSeek's AI products, citing data-transfer risk to China. DeepSeek's chatbots are already banned or restricted on government devices in the US, Australia and South Korea.

CHINA & THE WORLD

CROSS-STRAIT · AP

Taiwan indicts 5 over attack on comedian who mocks Xi and the CCP

Prosecutors indicted five men for a September attack on comedian Huang Yi-hao, alleging a Chinese national paid NT$450,000 to have him injured before a scheduled show. Prosecutors are seeking a minimum five-and-a-half-year sentence for the lead suspect.

CROSS-STRAIT · REUTERS

Taiwan probes organized-crime links to China's 'transnational repression'

Taiwanese authorities are investigating whether organized-crime networks are being used to carry out intimidation campaigns against Beijing's critics on the island. The probe follows a string of physical attacks and harassment incidents targeting outspoken entertainers and activists.

ASEAN · REUTERS

Philippines explores deeper cooperation with Taiwan to protect undersea cables

Manila is exploring expanded cooperation with Taipei to safeguard undersea cables, prompting a sharp MOFA response that there is 'no gray zone' on Taiwan. The reported talks come as both countries face suspected gray-zone activity near their coasts.

JAPAN · BLOOMBERG

China's iron ore sway may leave Japan a price taker, WoodMac says

Wood Mackenzie says China's dominant position as the top buyer of seaborne iron ore is squeezing Japanese steelmakers into price-taker status. The analysis comes as Beijing's state commodities buyer separately struck a new supply deal with Rio Tinto.

EUROPE · REUTERS

Cheap Chinese antibiotics threaten Europe's last major penicillin plant

Reuters reports low-cost Chinese antibiotic exports are undercutting Europe's sole remaining large-scale penicillin manufacturing site. The case illustrates the industrial-policy pressure building in Brussels over Chinese overcapacity in pharmaceutical inputs.

AFRICA · REUTERS

China, Djibouti say all countries should enjoy freedom of navigation in Red Sea

Beijing and Djibouti issued a joint statement calling for freedom of navigation in the Red Sea amid regional conflict spillover concerns. Wang Yi separately warned that Red Sea escalation threatens global economic security.

STAT OF THE DAY

56th

Centrally-managed official purged in 2026

Beijing's Executive Vice Mayor Xia Linmao was placed under investigation Oct 22, the 56th such 中管干部 named this year per Caixin's running tally; he was last seen publicly Oct 14 meeting Walmart's global CEO.

Caixin

ECONOMY & BUSINESS

TECH / DEEPSEEK · BLOOMBERG

DeepSeek raises $15 billion to challenge top US AI labs

DeepSeek has raised *$15 billion* in a new funding round aimed at competing directly with leading US AI developers.

TECH / ALIBABA · BLOOMBERG

Alibaba shares post steepest drop in two months on China curbs

Alibaba shares fell the most in two months after new China regulatory curbs, Bloomberg reports.

MANUFACTURING / RIO TINTO · BLOOMBERG

Rio Tinto and China's state buyer agree iron ore supply deal

Rio Tinto struck a new supply agreement with China's state-backed commodities buyer, easing one point of friction in the iron-ore trade.

MANUFACTURING / FORTESCUE · REUTERS

Fortescue posts 6% fall in quarterly iron ore shipments amid China dispute

Fortescue's quarterly iron-ore shipments fell *6 percent* and the company warned its full-year sales outlook remains at risk while talks with China's state buyer drag on.

PROPERTY / CHINA EVERGRANDE · REUTERS

Evergrande liquidators recover just 1% of debt claims after two and a half years

Liquidators of China Evergrande have recovered only *1 percent* of outstanding debt claims more than two and a half years into the process.

FINANCE · CNBC

Sovereign wealth funds surge back into China and Hong Kong

Sovereign wealth fund investment into China and Hong Kong jumped *190 percent* after a bruising prior slump, CNBC reports.

AUTO / GENERAL MOTORS · NYT

GM aims for 'eyes-off' driving within two years to match Chinese EV pace

General Motors is turning to AI to accelerate vehicle development as it tries to keep pace with Chinese automakers launching new models rapidly.

WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · THURSDAY, OCTOBER 22, 2026

中国人民银行 · PEOPLE'S BANK OF CHINA · *Pan Gongsheng, PBOC Governor*

LPR held for 17th straight month; PBOC previews policy-rate 're-anchoring'

The 1-year LPR stayed at 3.0% and the 5-year-plus rate at 3.5%. Pan Gongsheng said the PBOC will study shifting its main open-market operation tenor to overnight, making the overnight reverse repo rate the de facto policy rate, and will move loan pricing toward a dual LPR-plus-DR benchmark.

→ PBOC ZH ↗

商务部 · MINISTRY OF COMMERCE · *MOFCOM*

Reports FDI data for January-September 2026

National utilized foreign investment totaled ¥548.81 billion for the first nine months of 2026.

→ MOFCOM ↗

国台办 · TAIWAN AFFAIRS OFFICE · *Zhang Han, TAO spokesperson*

Cites surge in Taiwanese travel to the mainland

TAO said Taiwanese visits to the mainland rose 24.9% year-on-year in H1 2026 and reached 2.492 million for January-August, up 19.63%, despite Taipei's standing 'orange' travel advisory.

→ TAO ZH ↗

外交部 · MINISTRY OF FOREIGN AFFAIRS · *MOFA*

Previews 2026 Global Governance Forum in Xiongan

MOFA outlined China's expectations for the forthcoming Global Governance Forum to be held in Xiongan.

→ MOFA ZH ↗

PERSONNEL CHANGES

Xia Linmao (夏林茂) **INVESTIGATED**
Beijing Municipal Standing Committee Member / Executive Vice Mayor
China's central discipline watchdog announced Oct 22 that Xia, an alternate member of the 20th Central Committee, is under investigation for 'serious violations of discipline and law.' He was last seen publicly Oct 14 at a meeting between Beijing party chief Yin Li and Walmart global CEO John Furner.

NPC / POLITBURO WATCH

CENTRAL COMMITTEE / FIFTH PLENUM

People's Daily 任仲平 commentary previews Fifth Plenum

A signed Xinhua/People's Daily commentary timed to the Long March 90th anniversary confirmed the Fifth Plenum of the 20th Central Committee convenes in Beijing October 26-29 to 'study major questions on continuing to comprehensively and rigorously govern the Party.'

WHAT BEIJING IS SAYING

外交部 · MOFA · PHILIPPINES-TAIWAN CABLE COOPERATION, ONE-CHINA PRINCIPLE **FIRM · TO PHILIPPINES**

Mao Ning '· MOFA spokesperson

“There is no 'gray zone' on the Taiwan question; the Philippines should honor the one-China principle with concrete actions.”

在台湾问题上没有'灰色地带'，菲方应当以实际行动恪守一个中国原则

Asked at the Oct 22 briefing about reports Manila is seeking deeper cooperation with Taipei to protect undersea cables.

MOFA presser ZH

外交部 · MOFA · RARE-EARTH EXPORT CONTROLS ON JAPAN **FIRM · TO JAPAN**

MOFA spokesperson '· MOFA spokesperson

“China implements export controls on Japan in accordance with law and regulations.”

中方依法依规对日实施出口管制

Responding to reports that Japan's critical rare-earth stockpiles are nearing depletion.

MOFA presser ZH

国台办 · TAO · TAIWAN'S SEMICONDUCTOR INDUSTRY AND US CONTROL **WARNING · TO TAIWAN**

TAO spokesperson '· Taiwan Affairs Office spokesperson

“Per China News Service: a TAO spokesperson said Taiwan's government behaves like 'the son who sells the ancestral land without feeling the pain' in ceding its semiconductor industry to US control.”

崽卖爷田不心疼

Comment responding to commentary on US influence over Taiwan's chip sector.

TAO ZH

外交部 · MOFA · RED SEA TENSIONS **FIRM · TO OTHER**

MOFA spokesperson '· MOFA spokesperson

“We do not wish to see regional tensions spill further into the Red Sea.”

不希望地区紧张局势向红海方向进一步外溢

Follows Wang Yi's warning that Red Sea escalation threatens global economic and regional security.

MOFA presser ZH

李强 · PREMIER · CHINA-RUSSIA COOPERATION AHEAD OF APEC **CONCILIATORY · TO RUSSIA**

Li Qiang '· Premier of the State Council

“Amid continuously complex and evolving international circumstances, China and Russia maintain close coordination, a rare force for stability in a world of flux and turmoil.”

在国际形势持续复杂演变的背景下，中俄保持着紧密协作，是变乱交织的世界中难能可贵的稳定力量

Li Qiang met Vladimir Putin in Beijing; Putin said Russia supports China's hosting of this year's APEC summit and its 2027 BRICS chairmanship.

MOFA ZH

WHAT OTHERS ARE SAYING

FACEBOOK POST · OCT 22, 2026

Lai Ching-te · President of Taiwan

“Everyone is urged to remain vigilant and be prepared for the strong winds and heavy rains brought by the typhoon.”

Typhoon Champi, with sustained winds of 213 km/h, is forecast to dump up to 900mm of rain on northern Taiwan Oct 22-24 and has triggered over 150 flight cancellations.

source

MOFA READOUT OF BEIJING MEETING · OCT 22, 2026

Vladimir Putin · President of Russia

“China has been, is, and will always be Russia's closest and most reliable partner.”

Remarks came during a meeting with Premier Li Qiang in Beijing, where Putin also voiced support for China hosting this year's APEC summit.

source

AFP · OCT 22, 2026

Jason Cheng · Central Weather Administration forecaster, Taiwan

“Typhoon Champi is expected to have its most significant impact starting all day tomorrow through the first half of Saturday.”

Champi was downgraded from super typhoon status but retains sustained winds of 213 km/h as it tracks past Taiwan's northeast coast toward China and Japan.

source

THE WIRE

TECHNOLOGY

CNBC

UBS calls China A-share hardware pullback a buying opportunity

UBS's Suresh Tantia says China's planned $3.7 trillion sixth-generation network spend will favor hardware-heavy A-shares over H-shares.

ECONOMY

REUTERS

Audi names new China leadership amid bruising local competition

Audi overhauled its China management team as it faces intensifying competition from domestic EV brands.

BLOOMBERG

Hermès sales miss estimates in region that includes China

Hermès posted weaker-than-expected sales in its Asia-ex-Japan region, which includes China, as luxury demand softens.

BLOOMBERG

Europe car sales growth accelerates as Chinese brands seize share

Chinese automakers are capturing a growing share of Europe's accelerating car-sales growth, Bloomberg reports.

FT

China's drugmakers move into the big league

Foreign pharma groups are now paying to license innovation developed by Chinese drugmakers, FT reports.

ENERGY

BLOOMBERG

El Niño stresses China's power market with return to costly gas

El Niño weather patterns are forcing China's power system back toward costlier gas generation, Bloomberg reports.

BLOOMBERG

China's petrochemicals glut turns to crunch after months of war

Eight months of regional conflict have turned China's petrochemical oversupply into a supply crunch, per Bloomberg.

FINANCE

BLOOMBERG

Citi targets top spot in China as it awaits securities license

Citi is positioning to become a leading foreign securities player in China while its license application remains pending.

UPCOMING

Oct 25

UN Resolution 2758, 55th anniversary

Beijing and Taipei mark divergent interpretations of the 1971 resolution seating the PRC at the UN, a recurring flashpoint over Taiwan's international space.

Oct 26

Fifth Plenum of the 20th Central Committee opens in Beijing

The four-day plenum (Oct 26-29) takes up Party discipline and self-governance, per today's Xinhua 任仲平 commentary, days after Xi's Long March anniversary speech.

Nov 3

US midterm elections

Outcome shapes the House Select Committee on the CCP's composition and oversight agenda for 2027-28.

Nov 18

APEC Economic Leaders' Meeting, Shenzhen

China hosts Nov 18-19; the Kremlin says China is preparing for a possible Trump-Xi-Putin trilateral on the margins, per Bloomberg.

Nov 28

Taiwan nine-in-one local elections

22 mayoral and magistrate races and roughly 11,000 offices are at stake, read as a mid-term on President Lai Ching-te.

CSIS China Programs

CHINA DAILY BRIEF

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